



HIBRET LEBEGO Ethiopian Charity Organization (HLBECO)

Financial Policies and Procedures Manual

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Table of Contents

SUBJECT	Page
1 INTRODUCTION	7
1.1 Background	7
1.2 Objectives of the Manual	7
1.3 Organization of the Manual	8
1.4 Authority.....	9
2 FINANCIAL AND ACCOUNTING POLICIES	9
2.1 Accounting principles	9
2.2 Receipts	10
2.3 Payments	10
2.4 Petty Cash Fund	11
2.5 Accounts Receivable	11
2.6 Inventory and Fixed Assets.....	11
2.7 Liabilities.....	11
2.8 Internal Controls Guidelines	12
2.9 The Accounting Cycle	13
2.10 Fiscal Year	13
2.11 Document Maintenance, Preservation and Disposal.....	13
2.12 Annual Audit	14
3 CHART OF ACCOUNTS	14
3.1 Definition	14
3.2 Structure of the Charts of Accounts.....	15
3.3 Classification	15
4 CASH AND BANK OPERATIONS	16
4.1 Definition	16
4.2 Opening an Account	16
4.3 Deposits	17
4.4 Check Payments.....	17
4.5 Bank Transfer	18
4.6 Bank Reconciliation	19
4.7 Internal Control.....	20
5 PETTY CASH OPERATIONS	21

5.1	Petty Cash payment	21
5.1.1	General petty cash fund	21
5.1.2	Special Purpose cash funds	21
5.1.3	Setting up the petty cash Fund	21
5.1.4	Operations	22
5.1.5	Replenishment	22
5.1.6	Cash Receipts	22
5.2	Purchase Advances	23
5.3	Travel Advances	23
5.4	Cash Count.....	23
5.5	Internal Control.....	24
6	ACCOUNT RECEIVABLE.....	25
6.1	Definition	25
6.2	Project advances	25
6.3	Staff advances	26
6.4	Travel Advance.....	26
6.5	Purchase Advance	26
6.6	Prepayment	27
6.7	Guarantee Deposit	27
6.8	Sundry Debtors	27
6.9	Internal Control.....	28
7	PURCHASE	29
7.1	Definition	29
7.2	Objectives	29
7.3	General provisions	29
7.4	Authority for Purchasing	30
7.5	Purchasing Committees.....	31
7.5.1	Composition.....	31
7.5.2	Responsibilities.....	31
7.6	Purchasing Procedures.....	31
7.6.1	Raising a Requisition.....	31
7.6.2	Selection of a supplier	32
7.6.3	Purchase Order.....	32

7.6.4	Payment.....	32
7.6.5	Receipt of Materials and Services	32
7.6.6	Delivery to Stores/Receiving by stores.....	32
7.6.7	Accounting for Advance/Petty Cash.....	33
8	INVENTORY MANAGEMENT.....	33
8.1	Definition and General consideration.....	33
8.2	Entry to record received goods and services.....	33
8.3	Donations	34
8.4	Issuing materials	34
8.4.1	Bin Card.....	34
8.4.2	Stock Ledger/Stock card	34
8.4.3	Stock Taking	34
8.5	Internal Control.....	35
9	FIXED ASSETS.....	35
9.1	Definition and general considerations	35
9.2	Purchases.....	36
9.3	Fixed Asset Register	36
9.4	Depreciation	37
9.5	Disposal of Fixed Assets.....	37
9.6	Physical Inventory	38
9.7	Internal Control.....	38
10	LIABILITIES/ACCOUNTS PAYABLE.....	39
10.1	Definition.....	39
10.2	Goods/Services Bought on Credit.....	39
10.3	Taxes.....	39
10.3.1	Income (Salary) Tax	39
10.3.2	Withholding Tax	40
10.3.3	Unclaimed and Withheld Salary.....	40
10.4	Other Payables.....	40
10.5	Internal control	40
11	PAYROLL	41
11.1	Definition.....	41
11.2	Common type of earnings and deductions:	41

11.3	Payroll fund.....	41
11.4	Preparation and precautions	42
11.5	Internal Control.....	43
12	BUDGETING	43
12.1	Definition and other considerations	43
12.2	Objectives	44
12.3	Functions of Budgeting.....	44
12.4	Budget Preparation and Information requirement	44
12.5	Budget Structure	45
12.6	Budget control	45
12.7	Good Practices in Budgeting.....	46
12.7.1	Clarity.....	46
12.7.2	Timetable	46
12.7.3	Budget Headings	46
12.7.4	Estimating Costs	47
12.7.5	Contingencies.....	47
12.7.6	Forgotten costs	47
13	REVENUE/INCOME.....	47
13.1	Definition	47
13.2	Sources of Income.....	47
13.2.1	Donations.....	48
13.2.2	Self-Generated Income.....	48
13.2.3	Contribution in Kind	48
13.2.4	Other Sources.....	48
13.2.5	Remittance.....	48
13.3	Expenditure by donors	49
13.4	Accounting Entries	49
13.5	Internal Controls	49
14	EXPENDITURES.....	50
14.1	Definition	50
14.2	Kinds of Expenditure	50
14.3	Recording.....	50
14.4	Internal Controls	50

15	FUND BALANCE.....	51
15.1	Definition	51
15.2	Classification of Fund	51
15.3	Accounts Recording.....	51
15.4	Internal Controls	51
16	FINANCIAL REPORTS	52
16.1	Definition and Description.....	52
16.2	Types of Reports	52
16.2.1	Financial Reports:	52
16.2.2	Management Reports.....	53
16.2.3	The Donor Report.....	53
16.3	Date for production of Reports.....	54
16.4	Audit.....	54

ANNEXES

1. Check Payment Voucher	55
2. Payment Request Form.....	56
3. Journal Voucher	56
4. Bank Reconciliation.....	57
5. Petty Cash Payment Voucher.....	58
6. Petty Cash Replenishment Report.....	59
7. Cash Receipt Voucher	59
8. Suspense Voucher	60
9. Travel Advance Request Form	61
10.Travel Advance clearance	62
11.Cash Count Form	63
12.Goods Receiving Note.....	64
13.Delivery Note	65
14.Material Requisition voucher	66
15.Store Issue Voucher.....	67
16.Bin Card	68
17.Stock Card	69
18.Inventory sheet	70
19.Request for quotation	71
20.Fixed Asset Register.....	72
21.Purchase Requisition	73
22.Tender Evaluation Sheet	74

1 INTRODUCTION

1.1 Background

HIBRET LEBEGO Ethiopian Charity Organization (HLBECO) was founded in June 2015 by a renowned Ethiopian artist together with a group of passionate professionals. Motivated by a shared vision of creating a better and healthier Ethiopian society, the association is dedicated to addressing the country's growing health challenges, especially those affecting vulnerable children and adolescents.

The idea for the association was born out of a deep act of compassion—when the founding artist sold his private vehicles at auction to save the lives of two chronically ill Ethiopians suffering from kidney failure and heart disease. This powerful personal initiative inspired the realization that lasting change requires organized, collective action, leading to the establishment of HLBECO Ethiopian Charity Organization.

HLBECO has, since its establishment, been guided by written policies and procedures developed and reviewed to fit the stage the organization find itself in. Both Financial and administrative policies and procedures manuals were last reviewed 10 years ago to accommodate the demand of the organization. The organization is currently undertaking the construction of hospital and the new direction requires changes in the various policies, procedures and systems.

Likewise, today, organizations need more information than ever before, for decision-making process. Particularly the demand for financial information has grown significantly. It is undoubtedly that the system is only valuable if it is well designed to provide useful information, and if it is effectively analyzed to reflect the key business indicators of an organization. Based on this fact, financial policy of the organization demands to be re-innovated and updated to go hand in hand with the current development of the organization, laws and regulations of the country.

1.2 Objectives of the Manual

HLBECO Ethiopian Charity Association has prepared this “Financial and Accounting Manual” to insure accountability, transparency and objectivity and to attain efficient and effective utilization of its resources.

Financial/accounting system is valuable only if it is well designed to provide useful information and if it is effectively analyzed to reflect the financial transaction of an organization; where money comes from, where it goes and how the organization is doing financially. Good financial administration is very important to have the correct information that enables the management to take rational decision and implementation.

A good financial/accounting system makes it possible for an organization to be financially accountable to all its important stakeholders. It must provide information, which is relevant understandable, reliable, complete, up-to dated, consistent and acceptable to the external users. Linked to proper system for monitoring and evaluation, a good financial management system makes it possible for the organization to be accountable for what the money is spent on and how cost-effective it is.

This Financial/Accounting policies and procedures Manual is therefore, intended to help HIBRET LEBEGO Ethiopian Charity Organization to:

- Define clearly the financial and accounting policies of HIBRET LEBEGO Ethiopian Charity Organization (HLBECO)
- Ascertain that transactions of the organization are recorded in accordance with Generally Accepted Accounting Principles (GAAP)
- Put in place a system that will provide adequate internal control over the resources of the organization so as to enhance the efficiency of the overall management of its operations; and
- Create a system that will enable HIBRET LEBEGO Ethiopian Charity Organization (HLBECO) meet effectively the reporting requirement to management, board of directors, donors, government counterparts and public at large.

In order to facilitate recording and reporting on a uniform basis, various forms have been included in the manual. It has also been tried to make this manual as complete and as exhaustive as possible, but when need arises, or if, limitations are encountered in the day-to-day financial operations, it is flexible for alterations or changes.

1.3 Organization of the Manual

This manual is organized in sixteen sections. Section one deals with the Introduction. The Financial and Accounting Rules/ Policies adopted by HIBRET LEBEGO Ethiopian Charity Organization that should be adhered to when operating the financial/accounting activities are presented in section two. The third and fourth sections deal with chart of account and Cash and Bank Operations, while section six discusses Accounts Receivable. Purchasing policy and procedures and Inventory Management are briefly discussed in section seven and eight respectively. Relevance – it results in information that is meaningful to those who need to know something about the organization

Fixed Assets, Liabilities, Payroll and Budgeting are covered in sections nine, ten, eleven and twelve respectively. In the thirteenth, fourteenth and fifteen sections, the manual discusses Revenues, Expenditures and Fund Balance, while Financial Reports are presented in the last section. Various forms deemed necessary for the proper recording of transactions have been annexed to this manual.

1.4 Authority

Authority The issue and implementation, and when necessary the revision of this manual will be made with the approval of the management Board of HLBECO. When certain sections are changed the reason and the date of change should be documented in minutes of the board of management.

2 FINANCIAL AND ACCOUNTING POLICIES

Accounting is the maintenance of double entry system of records for substantiated business transaction which are analyzed, classified and summarized by journal vouchers and accumulated in the ledger accounts for further analysis and usage. It is the process of identification, measurement and communication of financial information about economic entities to interested or end users, by means of well-designed reporting systems.

2.1 Accounting principles

Accounting principles are a number of basic rules which are developed over-time from fundamental logical set of assumptions, concepts, and conventions. These rules are referred to as Generally Accepted Accounting Principles (GAAP) and are to be applied to all accounting and financial activities of the organization.

Basis of accounting:- The accounting basis used is the modified accrual basis of accounting in which revenues are recognized upon receipt of cash and expenses are recognized when cash is actually paid and also allows to make a reserve for certain un-avoidable budgeted expenditure i.e. appropriation

Going Concern Principle:- assumes the organization shall continue operation in the foreseeable future

Cost Principle: - acquisition of goods and services should be recorded at the actual amount paid which will be the base for reporting

Revenue principle: - exchange value should be used as the basis for the recognition of revenue.

Matching principle: - Cost incurred in a period should be matched with revenue to prepare the reports in a manner which best reflects the cause and effect relationship existing between cost and revenue. Also it is useful to determine the fund balance of projects.

Objectivity principle:- accounting information shall be based on a verifiable and objective data

Consistency Principle: - Accounting theory practices and methods shall be applied consistently from one period to the next to provide comparability between periods

Full disclosure principle: - All information that might influence the decision making of potential user of financial statement must be disclosed

Exception Principle: - encompasses such fairly specific concepts which provide for adaptability of accounting principles to change.

2.2 Receipts

- 2.2.1 All cash or check receipts shall be acknowledged by HLBECO official cash receipt voucher.
- 2.2.2 Receipts from donors in cash or in kind are converted to Birr at the rate of exchange prevailing at the time of receipt.
- 2.2.3 Income is recognized when materials and/or cash grants are received from donors.
- 2.2.4 Expenditures are recognized when incurred.
- 2.2.5 All collections made by each cashier at each site whether in cash or in check shall be deposited to a bank account intact on the date of collection or on the following day.
- 2.2.6 Personal check are not accepted in settlement of obligations of any kind unless they are certified.
- 2.2.7 Cashiers shall never keep third party funds in the Organization's safes. If found so, the fund shall be delivered to the Organization against official receipt.
- 2.2.8 Cashiers shall never accept post-dated check.

2.3 Payments

- 2.3.1 All payments above Birr 3,000.00 shall be effected by check. When the amount of payment request is up to Birr 3,000.00, payment will be effected from the petty cash fund.
- 2.3.2 No expenditure is to be effected unless properly approved or is an integral part of the procedure that specifically excludes written approval. Regardless of the circumstances, all expenditures records must be supported with proper evidence to prove that a legitimate transaction has taken place. Only original documents are accepted for payments.
- 2.3.3 It is not permitted to make payments for HLBECO's activity by borrowing money from individuals or institutions.
- 2.3.4 All payments should come directly and/or pass through the Finance and Administration department both at the Head Office and Program coordinating branch

Office thereby enabling the unit to prepare the necessary payments in accordance with the policy of the Organization.

2.4 Petty Cash Fund

- 2.4.1 The limit of petty cash fund can range from Birr 5000.00 to 10,000.00. The actual amount shall be decided by Management committee.
- 2.4.2 The established amounts shall not exceed unless authorized by the Management committee. The Funds shall be replenished when at least 75% of the limit is utilized.
- 2.4.3 Petty cash should be kept by a cashier both at the Head Office and Program coordinating branch Office. The cashiers are fully responsible for their holdings.

2.5 Accounts Receivable

- 2.5.1 Accounts receivables that cannot be collected are called bad debts. Provisions for doubtful debts are made on specific basis. Accounts write-offs must be documented and approved by the management prior to accounting action.
- 2.5.2 Receivables not collected by their due dates shall be forwarded to court action for collection through the due process of the law.

2.6 Inventory and Fixed Assets

- 2.6.1 All inventory materials purchased for HLBECO should be expensed upon purchase.
- 2.6.2 Fixed assets acquired during a year are already charged to expenditure account. However, Fixed Asset Register must be maintained for control purposes.
- 2.6.3 Depreciation may also be calculated and recorded for information purposes, but it is not posted to the books of accounts.
- 2.6.4 Adequate insurance coverage should be arranged for all fixed assets.

2.7 Liabilities

- 2.7.1 No invoice should be considered for payment unless it is accompanied by Goods Receiving Note (GRN) and other relevant supporting documents. Items like spare Parts that may be purchased and replaced during field trips, are not required to be supported by GRN, however, the concerned authority should authorize the payment. Provision for workers' compensation is determined and provided for at the end of each quarter based on actual period of service of each employee.
- 2.7.2 Provision for cash indemnity allowance is determined and provided for at the end of the fiscal year for each cashier.

2.8 Internal Controls Guidelines

- 2.8.1 Review organization authority delegations to ensure that signing authority relationships are consistent with organization reporting relationships.
- 2.8.2 Perform periodic review of equivalent positions are properly grouped and position authorities remain in the appropriate levels.
- 2.8.3 Ensure appropriate staffs are aware of organization authority requirements for incumbent changes and the proper staffing by competent personnel.
- 2.8.4 Inform all signing authorities of relevant changes to the organization authority.
- 2.8.5 Ensure compliance checking is being carried out at all levels and that any discrepancies are discussed with the staff and supervisors to avoid recurrence.
- 2.8.6 Segregation of duties – the assignment of duties should be segregated so that an individual cannot control all phases of processing transaction in a manner which permits errors of omission or commission to go undetected
- 2.8.7 Check that all transactions are properly classified, accumulated and summarized in the accounts in each accounting period.
- 2.8.8 Check that costs are matched with service provided (revenues) or vice versa in each accounting period, i.e., year-end closing procedures for accruals are followed.
- 2.8.9 Consistency: check that transactions are recorded consistently from one period to the next.
- 2.8.10 Financial reporting: Check that transactions are recorded as necessary to permit preparation of financial statements.
- 2.8.11 Check that budget and financial plan are consistent with HLBECO guidelines and planning assumptions.
- 2.8.12 Confirm financial plan/budget interfaces with other activities and other locations.
- 2.8.13 Review programs for proper clarifications as to capital, operating and administrative expenses.
- 2.8.14 Check that projections represent the best estimates obtained from line management as to expenditures over the balance of the year.
- 2.8.15 Check that projections are reviewed and approved by management
- 2.8.16 Request approval to exceed the budget for the year where projected expenditures will exceed approved levels.
- 2.8.17 Ledger: All transactions are properly accumulated, classified and summarized in the ledger as book of final entry as per the chart of accounts.
- 2.8.18 Adjustment and Closing: - All adjusting and closing entries for journalization initiated should be approved by authorized personnel in accordance with established policies and procedures.
- 2.8.19 Timeliness of Reporting: - check that reporting schedules are maintained and adhered to, so that, each report is produced on time in accordance with established policies.

2.9 The Accounting Cycle

- 2.9.1 The accounting cycle is the procedural sequence of accounting activities which starts with the analysis of transactions and ends with the preparation of financial statements and the post-closing trial balance.
- 2.9.2 The complete series of activities involved in double entry accounting during a fiscal period is called the accounting cycle. The following are the sequence of activities involved in the cycle:
- Identification & measurement of transaction and other events.
 - Journalizing opening trial balance journal voucher.
 - Analysis and summarization or records of source documents such as receipt vouchers, invoices, check, payment vouchers (PV), cash register, slips, etc.
 - Posting of sorted and summarized journal entries into ledger accounts.
 - Closing trial balance taking to test the balancing of the ledger cards.
 - Trial balance adjusting entries and their journalizations.
 - Revenue and expense summary statement.
 - Balance sheet.
 - Post-closing trial balance taking.
 - Reversing the adjusting entries.(optional)

2.10 Fiscal Year

- 2.10.1 The fiscal year of HLB runs from July 8 - July 7 Ethiopian calendar year.
- 2.10.2 Books of accounts will be closed at the end of the fiscal year. Adjusting entries must be passed for mistakes that need to be corrected and prepayments (if any) at the end of an accounting period before closing the accounts.

2.11 Document Maintenance, Preservation and Disposal

- 2.11.1 All used financial documents should be kept under the custodianship of the Finance and Administration Department.
- 2.11.2 All unused accountable documents of the organization will be registered in their sequential order in a register book and should always be kept under custody.
- 2.11.3 Issuance of unused documents will be made upon confirmation that the previously issued one has been properly and fully utilized. Annual inventory of unused accountable documents shall be taken at the end of each fiscal year.
- 2.11.4 The books of accounts and the corresponding vouchers and other documents will be kept by HLB for ten years after they have been audited.
- 2.11.5 After ten years, all documents will be disposed under the supervision of the Finance and Administration head.

2.12 Annual Audit

An external auditor recognized by DPPC and appointed by the General Assembly shall audit **HLBECO** accounts annually.

3 CHART OF ACCOUNTS

3.1 Definition

The chart of accounts is a listing of the classifications and coding of ledger accounts by the groups they belong to in the balance sheet and the revenue and expenditure summary. An organization's chart of accounts tracks who owes money, how much money is owed (and to whom), what have been earned, what have been spent, and what is owned.

The headings in the chart of accounts should be the same as those in the budget, so that the information obtained from the bookkeeping system would enable you to use your budget as the main tool for your financial management. The Transactions are analyzed, recorded, summarized and reported under a properly designed chart of accounts.

Every chart of account has two basic kinds of accounts: Balance sheet accounts and Income and expenditure accounts.

Balance sheet – The balance sheet shows exactly how much the organization is worth at the moment when the snapshot is taken. Balance sheet account includes: assets, liabilities and equity (fund balance).

- Assets are money and things owned by an organization which include Cash/Bank account, Receivable, Stock and Good- in-transit, Fixed asset and other Non-current assets.
- Liabilities are debts or money owed to third parties and classified as current, long term and deferred liabilities.
- Fund Balance represents the accumulated balance of difference between revenues and expenditures i.e balance brought forward and results of current year operations.

The algebraic definition of the balance sheet is:

$$\text{Assets} = \text{Liabilities} + \text{Fund balance}$$

Revenue and expenditure - Revenue and expenditure accounts track the sources of income and expenditure over a given period. If you had an excess of Income over expenditure, the excess will be added to your fund balance. If you had a deficit (less income than expenditure), it is subtracted from your fund balance.

- Income accounts constitute grants, donations, endowments, contributions, other income generation, and donations in kind and in free volunteer services to achieve the objective of the organization.

- Cost and expenses these accounts constitute the group of expenditure accounts where funds are utilized for their intended objectives.

3.2 Structure of the Charts of Accounts

The listing of accounts in the chart of accounts follows the order of liquidity. It starts with the most liquid item i.e cash account and may end up with other expense accounts. The chart of accounts developed for use by HIBRET LEBEGO has the following structure.

<u>Account No</u>	<u>Donor ID</u>	<u>Project ID</u>	<u>Activities ID</u>
0000	00	00	00

As it has been seen clearly, the chart begins, from left to right, with a four digit account number followed by a two digit Donor Identification Number, a two digit project identification number and other two-digits assigned for identifying activities. There shall be space or a hyphen between the assigned numbers. Therefore, when the whole is put together we get the following picture.

0000-00-00-00

In HLBECA each project is considered a separate entity and thus the chart of accounts is designed to allow that separate sets of accounts, Viz., assets, liability, fund balance, revenue and expenditure be maintained for each project. This is the basis on which the development of the reference chart of account is structured. In a situation where one donor support more than one project, the Donors ID will be repeated but each project will take its own ID. This enables the summarization of expenses by projects.

3.3 Classification

The following represents the key for major classifications of the chart of accounts.

3.3.1 Balance Sheet and Revenue and Expense Accounts

Description	Account No	Donor ID	Project ID	Branch ID
Balance Sheet Related items				
Assets	1000	00	00	00
Liabilities	2000	00	00	00
Fund Balance	3000	00	00	00
Revenue and Expense Related items				
Revenue	4000	00	00	00
Project Expenditure	5000	00	00	00

Administration expense	6000	00	00	00
------------------------	------	----	----	----

3.3.2 Donors (Known)

- 01- Public
- 02- Banks and Insurance
- 03- Corporation
- 04- Private Donors
- 05- NGOs
- 06. Government

3.3.3 Projects

- 01- Hospital construction
- 02- Medical treatment for the disadvantages

It is by putting together the above items that the reference of chart of accounts is developed. When additional projects are designed, new codes shall be assigned.

4 CASH AND BANK OPERATIONS

4.1 Definition

Cash is a medium of exchange for goods and services and basis for measuring and accounting for all other items. It consists of coins, notes, check on hand, petty cash, change funds as well as cash on deposit with bank. It is the most liquid of all assets and hence it changes hands, places and vanishes into commodities within the quickest time possible. Hence, it requires the most efficient system of recording and controlling.

4.2 Opening an Account

The **Chairperson of the Board of management** applies to a bank to open on account or accounts. He/She informs the bank the manner in which the account/accounts are going to be operated and the name as well as the title of the signatories. Signatories shall deposit their specimen signatures with the bank.

Once the account has been opened, normal operation takes place as follows:

- 4.2.1 When accounts are opened, check books are prepared by the bank and issued to the customer.
- 4.2.2 Upon receipt of the check book, verify immediately that it contains exactly the number of check leaves you ordered. Any missing leaves must be reported immediately quoting the number and asking for a "stop payment"
- 4.2.3 Keep in safe custody and the serial numbers recorded in a register of unused check books in the following format to be maintained by the Finance Head.

Register of unused check book

Date received from bank	Cheque No	Issued		Signature for receipt	Date used stub returned	Signature for return
		Date	To			

4.3 Deposits

Deposits can take the form of cash or check, drafts, telegraphic or mail transfers as appropriate. Any receipts in the form of check for deposits will have the availability of funds ascertained first before they are considered good funds, especially if they emanate from private individuals.

For all types of deposits, receipts should be obtained from the bank. Normally, banks issue two types of deposit receipts, for cash and check. In both cases before deposits are made, the cashier lists out the item on the blank deposits /forms in duplicate checks the items and totals carefully, counts the cash to be deposits and takes it to the bank. After having deposited the money, the cashier obtains deposit slip bearing a stamp of the bank and a signature of the teller, which should be forwarded to the accounts section immediately.

Upon receiving the deposit slip accounts pass the following entry.

Dr. Bank

Cr. Cash on hand or

Cr. Other appropriate account or

Cr. Revenue

4.4 Check Payments

Check payments are orders to a bank to make cash payments to the person or organization named in the check from bank accounts held by the maker. Check payment helps to avoid the risk of carrying large amount of cash. All payments above Birr 3000.00 must be paid by check or through bank transfer. Before checks are issued for payment, check Payment Voucher must be prepared and signed by authorized persons.

Payment voucher must be supported by appropriate documents such as supplier's invoices, receipts, and good receiving note that should be attached to them. Where such supporting documents are already attached to another accounting document such as journal voucher it may be sufficient to refer to such journal voucher on the check payment voucher.

Check payment voucher is pre-numbered and printed in two copies (see Annex 1). The original is detached from the pad and is attached to the supporting documents.

Check numbers must be entered on the relevant check payment vouchers and the check payment voucher number must also be entered in the check pad. Ensure also that check numbers are used in sequential order. Canceled checks must be kept attached to the check.

No expenditure is to be effected unless properly approved. Only original documents are accepted for payment.

All supporting documents must be stamped "PAID". If an error is committed during the preparation of a check a "VOID" mark should be put on the face of the check and should be attached with the check stub.

If bounced check are not cashed immediately, they must be returned and reversal journal entries be passed.

To minimize the risk of abuses, a check should be signed by at least two signatories and other staff nominated by ED. In the HO, the ED shall sign checks with the Finance and Administration department head. Check preparation, collections, and disbursement duties must be free from signatories. Blank checks should never be signed and left at the disposal of others.

The name of the payee, amount paid and date should be stated on the check stubs deposited during the time interval of the preparation of the check and running bank balances should be stated on the stub and signed by the signatories.

Before check payment voucher is prepared, Payment Request should be prepared (see Annex 3). The payment request form shows the amount requested and the reason for payment. It could be printed or stenciled. It is prepared in two copies. The original goes to accounts while the copy is retained by the requesting unit.

Accounting Entries:

Dr. Asset Or

Dr. Liability or

Dr. Expenses or Appropriate account

Cr. Bank

4.5 Bank Transfer

Normally banks act on authority given to them to debit a particular account and effect cash transfer to third parties. Such authorities can assume the form of letters. In such cases, the letter has to be signed by the persons authorized to operate the account. If an authority to debit is given to the bank and the bank act on it, the debit note should come from the bank and should be forwarded to the accounting section immediately in order to pass the necessary entities.

Upon receiving the debt note a journal entry should be prepared in the books by accounts. Journal voucher (JV) is used to record all transactions that are not posted to the ledger account through other vouchers (see Annex 3). Copy of the transfer letter and the debit note received from the bank are attached to the JV.

Dr. Appropriate accounts

Cr. Bank.

4.6 Bank Reconciliation

A bank reconciliation statement is a statement prepared to reconcile the difference between the bank statement ending balance and the owner general ledger account records (see Annex 4).

Banks send statements to their customers usually once a month. Upon receipt of the statement of account, the balance shown may not agree with the balance in the books. To avoid fraud and quickly detect errors, therefore, bank reconciliation is necessary, at the end of each month.

Reconciliation statements must be prepared by the responsible accountant and then authorized by the Finance and Admin Dept. head. Reconciled statements should be filed properly. Debit advices are not issued by the bank for cost of check book; therefore, they should be journalized from the bank statement so that they can be carried forward as reconciling items in the bank reconciliation statement.

Duplicates or photocopies of missing documents should be obtained from the bank and all outstanding items should be followed up and be closed as quickly as possible.

4.7 Internal Control

On check payment

- 4.7.1 Opening of bank accounts, change of signatories and closing of bank accounts should be authorized and communicated to the concerned banks immediately by authorized officials.
- 4.7.2 Prior to the preparation of payment vouchers, the validity of attachments of supporting documents should be properly compared with vendors' invoices, Goods Received Notes, etc
- 4.7.3 Check payments should be made from properly budgeted amounts.
- 4.7.4 Except for check prepared in the name of individuals, all check should be stamped "Account Payee Only" at the top corner of the check
- 4.7.5 The payment vouchers and supporting documents should be canceled with a "Paid" stamp to avoid double payment
- 4.7.6 The chairperson of management Board shall appoint signatories of checks.
- 4.7.7 Signatories shall not be from those employees who are responsible for the preparation of check payment voucher, collections and disbursement
- 4.7.8 Each check should be signed by at least two authorized signatories.
- 4.7.9 Avoid signing blank checks.

On bank reconciliation

- 4.7.10 Check the date, number and amount showed on every checks stub agrees with the corresponding date on the bank statement and note the difference, if any, and that voided checks are not cashed.
- 4.7.11 Check all deposits are included in the month's Bank Statement.
- 4.7.12 Ensure that bank statements and reconciliation reports are properly filed for future references.
- 4.7.13 All canceled (voided) checks should remain attached to the check stub.
- 4.7.14 If there is a change in the signatories of bank accounts, the bank should be notified immediately about the changes and effective date of the changes.
- 4.7.15 Make sure that an independent person not involved in the preparation of checks and deposits prepares the bank reconciliation statement.
- 4.7.16 When collecting check books, the person in charge should check that all the checks are in place and in sequence.
- 4.7.17 All checks must be fully accounted for.

5 PETTY CASH OPERATIONS

5.1 Petty Cash payment

5.1.1 General petty cash fund

General Petty cash fund is a fund used to meet various expenses of recurring or nonrecurring nature of small and moderate accounts. Petty cash should be kept on the imprest system where by the cashier is advanced a float of a fixed amount, which should be replenished from time to time. The amount of the Petty cash float should be reasonable in relation to requirements and must be fixed by management taking into consideration the size and kind of operations. Payments of up to Birr 1000.00 may be paid from petty cash.

5.1.2 Special Purpose cash funds

Depending on the magnitude of activities, several special purpose petty cash funds such as the following may be created to meet the needs:

- Petty cash funds for branches
- Special fund accounts for targeted schemes, and
- Specific projects petty cash fund accounts.

Special petty cash facilities are created in writing specifying the amount, the person in charge of the petty cash, the purpose of the petty cash and the specific conditions of the fund. Exceptions are payroll funds whose amounts of net payments for salaries and wages. Otherwise, all petty cash documents, accounting treatments, reports and control techniques are the same as the general petty cash fund account.

Petty cash fund should be kept separate from other funds (cash received or collected). The petty cashier should not have also access to the accounting records or check books.

The Petty cash fund is used for carrying out day-to-day operations only. The petty cash float of HLBECO ranges from Birr 2,500 to Birr 5,000. The float could be increased upon decision by the management committee based on specific situations.

5.1.3 Setting up the petty cash Fund

After the amount has been determined prepare a check in the name of the cashier, get the check signed by authorized people and hand over to the cashier. Cashier cashes check and cash keeps in safe.

On the check payment voucher for establishment and replenishment of petty cash funds, the journal actions are:

5.1.3.1 Creation of the petty cash fund

Dr. Petty cash fund account

Cr. Bank account.

5.1.3.2 On replenishment

Dr. Expense Accounts

Cr. Petty Cash fund account

5.1.4 Operations

- 5.1.4.1 Payment request forms are presented with the supporting document to the ED or to the delegate for approval. The approved payment requests are forwarded to finance section.
- 5.1.4.2 Finance checks documentation for corrections and if in order passes to the cashier.
- 5.1.4.3 Cashier, prepares payments in pre-numbered Petty Cash Payment Voucher and get the signature of authorized person. Petty cash payment voucher is pre numbered and printed in two copies (see Annex 6).
- 5.1.4.4 Make the payee sign for the money she/he takes or attach the relevant invoice to the voucher.
- 5.1.4.5 All supporting documents must be stamped "PAID" before they are replenished.

5.1.5 Replenishment

- 5.1.5.1 Petty cash is replenished before it is completely exhausted or when the petty cash on hand falls to about 3/4th (75%) of the originally set up fund.
- 5.1.5.2 Cashier detaches the original of replenished payment vouchers and sends to accounts.
- 5.1.5.3 Upon receipt of the completed Petty Cash Replenishment Report (see Annex 6) Accounts checks and analyzes voucher, by account, title code, and total.
- 5.1.5.4 Replenish by preparing check payment voucher and check in the name of the cashier for the amount expended.
- 5.1.5.5 All paid vouchers must be referenced to the check payment voucher number.
- 5.1.5.6 The petty cash fund should always remain at a constant level.

5.1.6 Cash Receipts

Cash receipts originate from donations, contributions grants, collections from receivables (from sales of revenue generating activities), etc. it is collected in the form of cash, checks and bank transfers. Cash received, must be evidenced by prenumbered Cash Receipt (Annex 7) prepared by the cashier in three copies. Receipts are printed upon written request by the Finance and Admin dept.

Whenever possible, cash must be deposited to the bank intact daily, the making of any payment or advance out of cash received being expressly forbidden. The cashier should number deposit slips sequentially for each fiscal year at the time of preparation. Checks received must be in the name of the organization.

Upon receiving of the Receipt and the supporting documents, Accounts check accuracy of analysis and pass the following entry:

Dr. Cash on hand or

Dr. Cash in bank

Cr. Account receivable or

Cr. Income from programs or

Cr miscellaneous income or

Cr. Appropriate

If the cashier presents to the accountant the cash receipts together with bank deposit slips; the accounting entry may be passed as follows:

Dr. Bank

Cr. Account receivable or

Cr. Income or

Cr. Appropriate account

All unused cash receipts must be kept in safe custody in the stores, and the required number of pads is given to the cashier upon completion and return of the used pads.

Receipts withdrawn from stores and used are recorded in a register book. This record should show the positions of used and unused stock at any given time. The cashier should sign when she/he receives the receipt pads. A receipt voucher not used due to error should be marked as void and kept in the pad with all copies.

5.2 Purchase Advances

Until appropriate supporting documents are produced small amount of payments can be paid by Suspense Voucher (Annex 8) from the petty cash fund. In the HO, the Finance and Administration Dept. head shall approve purchase advance. In the Program coordinator branch office, Zonal program coordinator shall approve all advances. Upon presentation of proper receipts or supporting documents to the cashier, the suspense voucher shall be settled in front of the payee. For actual travel expense, purchase or service a petty cash voucher or check payment voucher shall be prepared. Accounts shall pass the appropriate accounting entries.

5.3 Travel Advances

For all travels, Travel Advance Form (Annex 9) shall be filled by the requesting unit. The form shall be signed by the applicant and authorized by the respective department head or other concerned body. The advance must be settled immediately upon return from trip by filling the Travel Expense Form (Annex 10).

5.4 Cash Count

The Assigned body by Admin. & finance Dept shall make cash count at irregular intervals.

Procedure for cash counts will be as follows:

- 5.4.1 The person delegated to check the cash will drop at the cashier's and take possession of the cash in the presence of the cashier.
- 5.4.2 The checker will proceed to count notes and coins in detail and put down the details on the Cash Count Form (Annex 11).
- 5.4.3 The result should be the same with the amount of the petty cash fund. Then he/she makes the cashier sign on the cash count form after he/she has signed.
- 5.4.4 If a difference persists after the detail count, the cashier will be responsible for such difference. Where the difference is an overage an official cash receipt must be issued immediately.
- 5.4.5 Where there is shortage he/she will pay the difference.

5.5 Internal Control

On petty Cash

- 5.5.1 Assign in writing only one responsible person to each petty cash fund.
- 5.5.2 Each petty cash fund must be operated on imprest system where fund amount is always equal to the sum of the cash on hand and the sum of the vouchers paid from the fund.
- 5.5.3 Segregate petty cash funds from other collections of cash and funds.
- 5.5.4 Ensure that the entries in the PCPVs are completed in ink and the amounts in words and figures tally.
- 5.5.5 Ensure petty cash payments are not exceeded from the pre-set upper amount limit unless senior authorities of the Organization approve exceptions.
- 5.5.6 Petty cash payment vouchers should be pre-numbered and printed
- 5.5.7 Signatories must be from senior staff positions and other than the custodians of the petty cash fund.
- 5.5.8 Petty cash payment vouchers and supporting documents should be received before replenishment.
- 5.5.9 Check for petty cash replenishments should be made to the order of the petty cashier.
- 5.5.10 Petty cash payment vouchers and their attachments should be stamped either "paid" or "replenished" immediately after the replenishment check is signed.
- 5.5.11 After signing on the check payment vouchers, replenishment checks should be collected by the cashier.
- 5.5.12 Petty cash in hand and related documents must be kept in a safe.

On Cash Receipt

- 5.5.13 Make sure that receipt vouchers are pre numbered and printed by order of the proper authority.
- 5.5.14 Ensure daily cash collections are deposited intact in the bank account of the Organization.
- 5.5.15 Ensure physical controls over cash such as:
 - Bondage of the cashier,
 - Insurance coverage for cash in premises and in transit o Protection of cashier by accompanying drivers when carrying cash from and to banks
 - Ensure providing fireproof safes, reinforced separate room and dependable lockers
- 5.5.16 Ensure that during the absence of the cashier, replacement by a person of high responsibility and honesty is made.
- 5.5.17 Make sure that cash collecting and recording responsibilities are separate
- 5.5.18 Never accept post-dated checks.
- 5.5.19 Search for forgeries on checks to be received.
- 5.5.20 Ensure receipts of daily cash and bank position reports.
- 5.5.21 Make surprise cash counts at irregular intervals.
- 5.5.22 Notify senior management staff on bouncing checks.
- 5.5.23 Segregate the duties of receivable collector, receivable ledger account Keeper.
- 5.5.24 Post-dated checks, disputed items, unidentified receipts of check and the like should be forwarded and investigated by persons independent of preparation of deposits and posting of accounts receivable details.

6 ACCOUNT RECEIVABLE

6.1 Definition

Accounts receivable are claims from staff, other organizations and individuals to which HLBECO granted/rendered fund/services on credit. Receivable include project advances, salary advances, purchase advances, travel advances, deposits and prepayments, and sundry debtors.

6.2 Project advances

Project advances are monies advanced by the organization to its counter parts or project officers that will be accounted at a later date.

6.3 Staff advances

A staff member may obtain an advance upon submission of a written salary advance request according to the regulations the Organization. Salary advances may also be given to the staff in case of serious problems.

In the HO the ED, and in the project coordinating branch Offices the project coordinator should approve the request. Upon receipt of the approved loan and salary advance requests, accounts will pay the staff in cash or check. For salary advance the maximum deduction is 1/3 of the employee's monthly salary and must be recovered within the time stipulated in the agreement.

Accounting entries:

Dr. Individual staff loan account

Cr. Cash/Bank

When collections are made from staff members in cash or by deducting from their salaries, the following entry is passed.

Dr. Cash /Bank /Proper asset or expense account

Cr. Individual staff loan account.

6.4 Travel Advance

Travel and per diem advance is amount advanced to the employees for approved business travels. Travel advance should be limited to reasonable expected expenses such as transport, lodging meals and reserve for unseen expenses. Additional advance must not be given before the previous advances are settled if any.

Accounting entry for advance payment is:

Dr. Accounts Receivable (individual staff account)

Cr. Cash/Bank

If the quantity advanced is small amount, it could be paid from the petty cash fund by suspense voucher. No accounting entry is required if the advance is paid by suspense voucher, until actual invoices are submitted to finance.

6.5 Purchase Advance

Purchase advance is money advance given to employees to purchase goods and services. Advance payment should be approved by the ED or Finance and Administration Dept. head at the Head Office and by zonal Program coordinator at the Program coordinating branch Office. Purchase advance should be cleared within specified period against the invoice of the supplier and good received note. Additional purchase advance must not be given before the previous advance is settled.

Accounting entry for advance payment is:

Dr. Accounts Receivable (individual staff account)
Cr. Cash/Bank

6.6 Prepayment

This includes charges paid in advance applicable for future coverage such as prepaid insurance and rent. At the time prepayments are effected, official receipt in testimony of the advance payment should be obtained. At the end of each quarter, an adjusting entry should be made to transfer the expired portion to an expense account by debiting the appropriate account and crediting prepayments. Application and follow up of all prepayments should be done by the Finance Head.

6.7 Guarantee Deposit

Guarantee and utility deposits are sum paid for contractual agreements such as water, electricity, telephone etc.

Upon payment entry is debited to guarantee and utility deposit and credit to cash/bank. All original documents should be kept by the cashier in a safe place ready for inspection.

In case of termination of the contract an official cash receipt should be issued for the refund of the amount deposited, and the entry required is:

Dr. Cash/Bank
Cr. Guarantee/Utility Deposit

6.8 Sundry Debtors

This may mainly consist of individuals, companies or government organizations to which advance payment has been effected for purchase of goods and services. Upon receipt of proper documents the following entry is passed by accounts:

Dr. Account Receivable - Sundry debtors
Cr. Bank /Cash

When the purchased material is fully received by Goods Receiving Voucher or service rendered is confirmed by concerned authority, the following entry is passed:

Dr. Appropriate expense
Or Dr. Fixed assets
Cr. Account receivable – Sundry debtors.

6.9 Internal Control

On project Advances

- 6.9.1 Project advances should be in writing and authorized.
- 6.9.2 Advances to third parties should be on the basis of written agreements.
- 6.9.3 Follow up should be made to ensure the utilization of the advance is for the intended project.
- 6.9.4 Project advances should be cleared within a specified time.

On staff Advance

- 6.9.5 Staff shall be eligible for salary advances if they have adequate reason.
- 6.9.6 Request for salary advance must be approved by the ED at the Head Office and by the Program coordinators at the Program coordinating branch Offices.
- 6.9.7 No additional loan will be provided to any staff without ensuring settlement of previous loans/advances.
- 6.9.8 Salary advance should not exceed the net monthly salary of an employee.

On Travel Advance

- 6.9.9 Only higher officials of **HLBECO** must approve travel advances.
- 6.9.10 Travel advance should be limited to reasonably expected expenses such as transport, lodging, meals, and reserve for unforeseen expenses.
- 6.9.11 Travel advances must be cleared in full within five days upon return from trips.
- 6.9.12 Additional advances must not be given before the previous advances are liquidated if traveler has returned from previous trip.

On Purchase Advance

- 6.9.13 Purchase advances should be made in checks in favor of the purchaser.
- 6.9.14 Purchase advances should be cleared within specified period against the invoice of the supplier and goods received note.
- 6.9.15 Purchase advances made in cash, if any should be cleared within three days after items purchased are delivered to store against appropriate store documents.
- 6.9.16 Additional purchase advances should not be given before the previous advance is cleared.

On Prepayments

- 6.9.17 Ensure that the unexpired portion of prepaid expenses is recognized and adjusted to receivable account as at the fiscal period.
- 6.9.18 Ensure receipts for utility deposits are kept in safe for future claim.

7 PURCHASE

7.1 Definition

Material can be acquired through purchase and donations. Purchases are the acquisition of goods & services at the least price and desired quality that the market can offer. Purchases are to be effected according to annual budgets and purchase policies provided.

7.2 Objectives

The purchase policies and procedures seek to:

- 7.2.1 Ensure, in line with the approved budget, that the required materials are procured at the right time, right price, right place, right quality and right quantity;
- 7.2.2 Provide accurate information to management as needed;
- 7.2.3 Guide staff while assuming their responsibilities related with purchase;
- 7.2.4 Ensure uniformity, consistency and continuity of purchasing principles and practice.

7.3 General provisions

To achieve the aforementioned objectives, the following general provisions are to be followed accordingly:

- 7.3.1 All purchase Requisitions shall be filled by the store unit based on the store requisitions received from the user unit and shall be authorized accordingly in order to initiate purchase.
- 7.3.2 With the approved budget line and limit all purchases shall be made on competitive bases taking note of the following:
 - a) Collection of pro forma invoice may not be required,
 - For purchases of minor goods and services worth not more than ETB 15,000.00 at A.A. or ETB 10,000.00 at project office,
 - For purchases of goods and services that are made from sole suppliers, manufacturers or agents,
 - For purchases of goods and services that their price and quality are legally determined, and
 - Where bidding will not bring changes in terms of price and quality of goods and services to be purchased.
 - b) If purchases of goods and services worth falls within a range of ETB 15,000.00 – 30,000.00 at A.A. or ETB 10,000.00 – 20,000.00 at project office shall be made against three pro forma invoices.
 - c) All purchases of goods and services worth more than ETB 30,000.00 at A.A. or ETB 20,000.00 at project office by the decision of purchase committee.

- 7.3.3 All purchases should be within the approved budget and limit for the fiscal year.
- 7.3.4 All purchases above ETB 30,000.00 shall be affected on an open or closed tender basis.
- 7.3.5 A Purchasing Committee shall review the pro forma invoices and the recommendation of the Committee shall be approved by the Executive Director/Assigned by him.
- 7.3.6 Project Offices shall be authorized to undertake purchases up to a value of ETB 15,000.00 within the approved budget line and limit.
- 7.3.7 Receipts shall be forwarded for all purchases irrespective of value. In the event, receipts are not available with the supplier; the Purchaser shall have the supplier signed on the format of **HLBECO**.
- 7.3.8 All purchases shall be made by authorized personnel unless otherwise instructed for a sufficient reason by the Finance and Administration Dep. head/Project coordinator.
- 7.3.9 All materials and fixed assets purchased shall be received against Goods Receiving Notes.
- 7.3.10 All purchases should be made in the most appropriate legal terms, professional standards and business ethics.
- 7.3.11 Purchasing goods or services from an enterprise or individual in which **HLBECO** officials or the Purchaser have direct or indirect financial interest or have close relations shall not be allowed.
- 7.3.12 Employees engaged in purchasing activities shall not be expected to accept gifts from suppliers. This shall not include calendars, diaries, pencils and other promotional materials.

7.4 Authority for Purchasing

The authority to approve purchases shall be vested in the following officials:

- The management board approve for the all purchase and service of more than birr 50,000.00
- The management committee all purchase and service birr 40,001.00- 50,000.00
- The Executive Director for all fixed assets, consultancy services, purchases (values over ETB 30,001.00 – 100,000.00),
- The Finance and Administration Dept. head for purchases of materials and services worth ETB 10,000 or less. This is interpreted as a one- requisition, one-payment transaction.
- Project office Coordinator for purchases of materials and services below ETB 5,000.
- Admin and finance Dept. shall assume overall responsibility for the purchasing function.
- Staff whose job description does not mention a duty of purchasing shall not engage themselves in any purchasing unless otherwise instructed by the Finance and Administration dept. or project office coordinator.
- The following non-purchasing personnel shall be authorized to undertake purchasing of the following items.

- Drivers - fuel, small spare parts needed in emergency situations, washing services, tire repair service.
- Officers authorized to drive vehicles – fuel, tire repair services.
- Admin Assistant – machine and office maintenance services
-

7.5 *Purchasing Committees*

7.5.1 Composition

- At the Head Office, the Committee shall be made up of the:
 - Finance and Administration Dept. head
 - Senior accountant o General service
 - Other relevant assigned body
- At Coordinating Offices, the Committee shall be made up of the
 - Finance and Administration Officer
 - Assistance zonal program coordinator.
 - Others two relevant officers
- The Executive Director at head office and program coordinator at program coordinating office should forms the purchasing committees in writing.

7.5.2 Responsibilities

- To check the reliability of pro forma invoices and related suppliers,
- To use cost minimization criteria without overlooking the quality,
- To analyze quotations based on the specified criteria and forward recommendations for the designated authority for approval,
- To forward suggestions whenever there is a need for amendment regarding the purchasing policies, procedures and practices of HLBECO.

7.6 *Purchasing Procedures*

HLBECO shall have economically justifiable purchasing program which shall take into account it's financial and storage capacity, timing, prices, quality standards and conditions of purchase.

The procedures to follow for certain purchases may take different forms depending with the nature of the purchases and their values. However, the following procedures shall be common to all purchasing transactions. These include:

7.6.1 Raising a Requisition

- Purchase requisition (see annex 21) are a pre-printed format prepared in to copies, the original goes to the purchaser while the copy remains with the pad,
- Purchase requisition shall be raised by the store unit and approved by the concerned executive for the purchase of goods and services,
- Terms of reference (TOR) shall be prepared in the case of consultancy services.

7.6.2 Selection of a supplier

- Three pro forma invoices shall be collected from different suppliers for the stated amount in this policy,
- By analyzing the comparison sheet (See annex 22) prepared by the committee, the purchase committee shall forward its recommendation,
- Offer comparison sheet is a multi-columnar printed or stenciled work sheet with the item to be purchased listed in rows and the prospective suppliers in columns.
- It is prepared in three copies for the use of purchase committee, purchaser and purchase file and the results of the evaluation have to be recorded and signed.

7.6.3 Purchase Order

- Purchase order could be made from the selected supplier/s either in writing or through telephone,
- If in writing either using the purchase order format or through a contract agreement. Purchase order is a pre-numbered format which is prepared in four copies of different colors.
- The first and third copies are sent to the selected supplier, the third copy will be returned by the vendor with the related invoices.
- The second copy is sent to the requesting unit / receiving unit,
- The fourth copy is to be retained in the pad for the purchase follow-up. o An order must be signed/approved by the delegated officials.

7.6.4 Payment

- For purchase of goods and services worth more than 1500.00 payments shall be effected through check and through petty cash otherwise,
- In cases where advance payments are required, the payment shall be prepared in favor of the supplier or the Purchaser.

7.6.5 Receipt of Materials and Services

- The purchaser/delegated person shall verify quality of goods and services against the order on the spot, if there is any change it should be communicated accordingly.
- The purchaser/delegated person shall be accompanied by the responsible person in case of technical materials.

7.6.6 Delivery to Stores/Receiving by stores

- Store unit shall issue a Goods Receiving Note (see annex 12) to the purchaser /delegated person who delivers the material, after inspecting carefully for condition and quality against the related purchase order made, any discrepancies if exists it should be communicated accordingly
- Goods receiving Note (GRN) is a pre-numbered and printed form which is prepared in four copies to acknowledge receipt of goods.

- Original for the store unit, the second copy to accounts, the third to the purchaser and the last remains in the pad for bin card up-dating.
- This shall not be necessary for services and fuel purchased upon voyage.

7.6.7 Accounting for Advance/Petty Cash

- The purchaser/delegated person shall report for the purchase advance within twenty four hours, after delivering materials to stores,
- The purchaser/delegated person shall submit the receipt with Goods Receiving Note to the Cashier till twenty four hours after delivery of material/s to store.

8 INVENTORY MANAGEMENT

8.1 Definition and General consideration

Inventory management is the process of acquiring, storing and distributing of materials for production and distribution of goods and service to achieve defined organizational objectives.

- Inventories are stocks of tangible physical materials, consumable items such as stationeries, supplies, spare parts or long life items such as furniture's, office equipment etc. held in store.
- The inventory system is an integral part of the cost and financial system and closely related to accounting for store and purchases.
- Inventory usage shall be predicted/planned at least annually by the user units based on the programmed activity.
- The store unit function involves both recording and keeping of stored materials.

8.2 Entry to record received goods and services

- The cost of goods shall include invoice value plus related costs,
- Perpetual inventory system of recording shall be adopted,
- Receipts and issues of each stock item shall be recorded on stock control card and store ledger card on daily basis,
- Inventory is valued on FIFO cost basis,
- Issues should be recognized by accounts.

All inventory materials purchased should be expensed upon purchase. Accounts pass the following entry after the goods have been received:

For purchased items received by store

Dr. Appropriate expenditure

Cr. Cash/bank

Or Cr. Accounts payable (if goods are purchased on credit).

If goods are purchased for Branches, Delivery Note will be prepared when the items are dispatched. Upon receipt of items the Branch store shall sign the Delivery Note and send to the head office store to confirm receipt of dispatched items. (Annex 13)

8.3 Donations

They are free grant of goods, their receipts and distributions are executed by materials accounting format

For donated items received by store the following entry is passed:

Dr. Appropriate expenditure

Cr. Income/D

8.4 Issuing materials

- After receiving the authorized Material/Store requisition, the store shall deliver goods to the requesting unit by preparing a store issue Voucher (See Annex 15).
- Store Issue Voucher (SIV) is a pre numbered and printed in four copies. Original goes to user, the second copy to the accounts, the third one to store while the forth remains in the pad for bin card up-dating.

8.4.1 Bin Card

Bin cards (see annex 16) are inventory movement control records which kept by the store keeper for each stock item at its disposal. It is designed to record quantities received, issued and the daily balance. When requisitions are received by the store, the stock checks the bin card balance and indicates all items that are available with their bin and shelf location on the requisition in the remark column. When the balance is insufficient to completely fill the order, the storekeeper shall communicate the situation accordingly.

8.4.2 Stock Ledger/Stock card

Stock ledger/Stock card (see annex 17) is another stock control record kept for each sock item by the accounting unit segregated from store functions. All receipts and issues of materials are recorded in the stock card both in quantity and value from the goods receiving note and store issue voucher.

8.4.3 Stock Taking

Every item stocked in the store should be counted physically and checked against its respective bin card and stock ledger at the end of every fiscal year. If either shrinkage or an overage occurs between the record balance and the physical count, investigation shall be made for the cause prior to adjustment. The physical inventory shall be taken by an inventory committee composed of staff from different sections. The result of the physical count shall be reported by means of the Inventory Sheet. Inventory sheet is a form used to itemize inventory counts (Annex 18).

Accounting records shall be adjusted to the results of the physical count. However, such adjustment shall be done only after proper investigation and the Board's approval.

Goods totally damaged shall be removed from stock upon the approval of Management. Accounts pass the following entry after the goods have been removed:

**Dr. Cash/bank (if sold) or
Dr. P/L account
 Cr. Stock**

8.5 Internal Control

- Every receipt of all purchased/donated materials shall be filled in Goods Receiving Notes and reported to accounts immediately in order to update stock cards,
- Annual inventory shall be taken at least once in a year, and reconciliation between physical count and stock control shall be made to certify the count,
- Each material issued from store shall be properly documented and to the appropriate final user accordingly.

9 FIXED ASSETS

9.1 Definition and general considerations

- Fixed assets are all movable and immovable properties having a useful life of more than one year and acquired/owned for the organization's use,
- Any item which costs ETB 500.00 or more and which lasts for more than a year is considered as fixed asset,
- Work in progress represents expenditure of a capital nature made on construction of buildings, fences and compounds, major improvement to existing facilities, with a view to increase their working capacity and service life,
- Fixed assets could be acquired through direct purchase, self-construction or donation, their cost shall be recorded:
 - ⇒ Invoice price plus transport charge, insurance premium, custom duties, clearing charges, etc for purchased goods.
 - ⇒ At their fair market value, if acquired through donation,
 - ⇒ At amount computed using reasonable basis, if their historical cost or fair market values are not available,
 - ⇒ Work in progress account is used to accumulate the cost of constructions until completion.
 - ⇒ In most cases, NGOs acquire fixed assets by donation. Sometimes donors include the price of the asset. i.e the cost of asset. Other times the cost of the asset is not

indicated by the donors. In such case, the asset received should be recorded at fair market value.

- Constructed Fixed assets are recording as follows:
 - i) For expenditure on the foundation work of a building,
Dr Work-in-progress - building
Cr Cash/Bank/Liability
 - ii) When construction is completed,
Dr Fixed Asset if it's organization's property or
Dr Constr. Exp. If it's community's/Government property
Cr Work in progress

9.2 Purchases

Whenever fixed assets are bought for cash or on credit, the following procedure should be observed:

- The ED or his delegate in accordance with the overall approved budget of a given fiscal year authorizes the acquisition/construction of fixed assets.
- The requisition should mention the funding source, budget heading and the amount budgeted.
- Purchase procedure is explained in the Procurement and Property Management Manual.
- Tag numbers should immediately be given for all fixed assets purchased and/or donated.
- Fixed asset tag numbers shall closely indicated the location of the fixed assets, type and code numbers.

9.3 Fixed Asset Register

- A register of all fixed assets should be maintained at the head office with sub registers at each location for assets under control. Fixed assets with value of more than birr 500.00 /five hundred birr/ and a life of more one year should be recorded in the register o All Fixed Assets Shall be registered in a special form called fixed assets register (see annex 20).
- It shall individually identify assets by a number, which also appears on the asset itself so as to facilitate control of physical existence.
- The fixed asset register should include information like the date of purchase, cost, depreciation rate, as well as year-by-year record of deprecation and net book value, identification number, location of the asset, the department or person using it, etc.
- Such a record shall be kept by accounting unit.

9.4 Depreciation

Depreciation is diminution in value of fixed assets through use or due to elapse of time. The computation of depreciation is important because the value of the fixed asset at certain date should be reduced by the amount of the accumulated depreciation so as to show a true and fair view of the state of affairs with regard to fixed assets.

Depreciation rates allowed by the Inland Revenue Administration are as follows:

- Buildings are to be depreciated on a straight-line basis at five percent (5%),
- Intangible assets shall be depreciated individually on a straight-line basis at ten percent (10%),
- The following two categories of assets shall be depreciated according to a pooling system at the following rates:
- Computers, information systems, software products and data storage equipment at twenty five percent (25%), o All other assets at twenty percent (20%).

The depreciation base shall be the book value as recorded in the opening balance sheet of the tax period. But in the NGO environment depreciation is not mandatory.

9.5 Disposal of Fixed Assets

When fixed assets are used for longer period their maintenance cost increases rapidly, as a result they may be disposed of for various reasons. The procedures for disposal of fixed assets are:

- Disposal of any fixed assets shall approved by the Board of management/or other concerned Authority beforehand,
- The person in charge of the asset shall prepare a written proposal for the disposal of the asset stating the condition of the asset and the approximate value
- The Board of HLBECO shall approve the proposal for disposal of fixed assets in consent with DPPC.
- Disposal of fixed assets by means of sale shall be executed by public auction.
- Quotations received are summarized in a comparative statement and select the one who has given the highest offer and state the reasons of selection.
- In the case of disposing fixed assets by means of sales, a sales contract agreement shall be prepared in duplicate. The original goes to the buyer and the copy to the Finance and Administration dept.
- Upon the receipt of the proceeds, the item sold is delivered.
- The sale of the fixed assets including the proceeds obtained has to be reported to the donor and the supervising government agency. In addition an approval has to be obtained from the donor to use the proceeds.

After approval that an asset item is to be disposed of, Accounts pass the following entry:

A) Dr. Cash /bank

Cr. Other income

(to record sale of scrap)

B) Sale of fixed asset

i) Dr. Cash /bank

Dr. Accumulated depreciation

Cr. Fixed assets

(to record sale of fully depreciated fixed asset at Book value)

ii) Dr. Cash /bank

Dr. Accumulated depreciation

Cr. Gain on sale of fixed assets

Cr. Fixed assets

(to record sale of fixed asset at more than Book value)

iii) Dr. Cash /bank

Dr. Accumulated depreciation

Dr. Loss on sale of fixed assets

Cr. Fixed assets

(to record sale of fixed asset at less than Book value)

9.6 Physical Inventory

Physical inventory of the entire fixed asset should be made at the end of every fiscal year. The result of the count should be reconciled with the record and appropriate investigation should be made if difference arises.

9.7 Internal Control

- Fixed assets must be kept in a secure place,
- Make sure fixed assets are insured,
- Make sure only the necessary inventories are purchased for the use of the organization,
- Make sure all fixed assets are registered in the book of fixed asset register,
- Physical inventory of fixed assets shall be taken at least once in a fiscal year in order to verify the existence and condition of the assets,
- Make sure the physical count is reconciled against the record, if there is any change it should be communicated accordingly.
- Fixed assets must be insured against fire, burglary, motor, etc
- Motor vehicles should be used only for the organization official business and not for personal use.

10 LIABILITIES/ACCOUNTS PAYABLE

10.1 Definition

Liabilities are the claims of third parties on HLBECO Liability/Accounts payable normally arises as a result of goods purchased on credit or services obtained on deferred payment basis or funds borrowed. They form liability items in the balance sheet. The most common payables include: Purchase payable, transportation payable, loan payable, Payroll and payroll deductions, provident fund payable, income tax payable, severance reserve, retention payable.

In the balance sheet, liabilities are classified as current liabilities, long term liabilities and deferred charges.

Current liabilities:- are monies due within one year. They include Accrued expenses, provident fund payable, Income tax payable, severance reserve, retention payable.

Long term liabilities:- are borrowing with repayments schedules of over a year. Such borrowings have a special loan agreement signed with conditions ensuring repayments over years.

Deferred charges:- are liabilities where revenues are collected in advance of rendering goods and service are delivered and the deferred charges are reduced to zero on settlement.

10.2 Goods/Services Bought on Credit

When goods/services are bought on credit the supplier sends credit invoice to be settled after a specified period. Until settlement, the value of the invoice remains a liability.

Upon receipt of the invoice along with the goods receiving note and purchase requisition, Accounts prepares a journal voucher and passes the following entry.

Dr. Appropriate expenditure account
Cr. Accounts payable – Supplier account

Upon request for settlement/payment or prior to that, payment can be effected and entry will be passed:

Dr. Account payable - Supplier account
Cr. Cash or Bank

10.3 Taxes

10.3.1 Income (Salary) Tax

Every person deriving income from employment is liable to pay tax on that income at the rate specified. HLBECO has the obligation to withhold the tax from each payment/salary to an employee and to pay to the tax authority the amount withheld during each calendar month.

The personnel Income Tax should be calculated in accordance with current income tax proclamation (**No. 286/2002**).

HLBECA should open personnel income tax file at the HO and Project Office of Inland Revenue where it registered and should secure Tax File number.

10.3.2 Withholding Tax

Organizations having legal personality are required to withhold 3% of the gross amount of payment they make to tax payers providing goods and services. When withholding tax from payment, HLBECO should issue serially numbered official receipt to persons and organizations from which tax is withheld and transfer to the government within ten days from the last day of each month.

10.3.3 Unclaimed and Withheld Salary

Unclaimed and withheld salaries are net salaries which are not collected by employees or payment that has been barred by the action of management. The entry to recognize the liability is treated under the Payroll section. Upon settlement of the taxes, deposit of provident fund and payment of salary withheld to the employees, the following entries are passed:

**Dr. Income tax or
Dr. Withholding tax or
Dr. Provident fund or
Dr. Unclaimed salary
Cr. Cash or Bank**

10.4 Other Payables

All payables/liabilities must be settled according to contract agreement.

10.5 Internal control

- Ensure and control repayments to be within safe levels of cash
- Ensure avoidance of penalties on defaulting payments of liabilities.
- Make sure Payrolls are settled accordingly,
- Make sure personal/employees payroll taxes are paid to Inland Revenue Authorities within one month after withholding such payments,
- Make sure all provident funds are deposited on employees saving account accordingly,
- Ensure withheld, if there are any, taxes are deducted and paid to Inland Revenue,
- Make sure, if there are any, payment of employee debts are deducted and settled as stated on loan agreement,

- Make sure Unclaimed/withheld salaries are deposited, and such deposits are paid to the right claimant as payment procedures of HLBECO per written authorization,
- Make sure all, if there are any, liabilities are paid to the right claimant per mutual agreement and the payment procedures of HLBECO are followed strictly.

11 PAYROLL

11.1 Definition

Payroll is a spread sheet with lists of employees of an organization by cost centers who are entitled for pay with the information concerning monthly payments due to them and deductions for a pay period (the period covered by the salary payment is called a pay period). The amount of money that an organization periodically pays to its employees for their services is known as wage or salary.

A Payroll register, also called a payroll sheet is a multi-columnar form which is used to organize the payroll data of an organization at the end of each pay period.

The payroll register for each payment period shall show the following:

- ✓ The names, basic salaries and additional earnings of the employees,
- ✓ Deductions from the employees,
- ✓ Net payments to the employees,
- ✓ Signature of the employees to confirm the correctness of the amount and receipt of the stated amount.

11.2 Common type of earnings and deductions:

- ✓ Employee's Earnings include basic salaries and other allowances,
- ✓ Deductions include Employee's personal income tax, contribution to the provident fund, repayment of loans and advances

11.3 Payroll fund

Payroll fund represents the net salaries and wages obtained, after the gross pay has been reduced by all payroll deductions such as income tax, advances, loans and others. The payroll fund is obtained by drawing a check to the order of the paymaster for the net pay. The check that establishes the payroll fund by debiting the fund/the paymaster and crediting cash at bank.

The following entry is passed when check is issued to cashier/Paymaster:

Dr. Payroll fund
Cr. Bank

11.4 Preparation and precautions

- Information's that are useful for preparation of payroll shall be forwarded to the concerned accountant from the finance and Admin Dept. before the 24th of every month, such information's include: absenteeism, terminations of employees, additions to the payroll, deletions from payroll, and any other deductions,
- After the payroll sheet is prepared it shall be checked by Finance and admin Dept. head before it is approved by the Executive director in the Head Office and by zonal Program coordinator at the program coordinating branch office,
- Salaries and any benefits to the employees shall be paid using payroll on the 26th of every month and onwards,
- Payment of absent employees shall never be delivered to other employees unless represented legally to do so,
- Payroll shall be examined at irregular intervals and reconciled with the previous one before payment is effected,
- A checks payment voucher shall be prepared in the name of the cashier/paymaster for the net amount,
- Upon receipt of their remuneration the employees shall sign against their respective names in the payroll list,
- After pay period is elapsed, unpaid salaries if there are any, shall be deposited into the bank and evidence of deposit together with the payroll shall be forwarded to the responsible accountant,
- Within a week from the effective pay day the payroll and any related documents shall be forwarded to the responsible accountant in order to verify all payments and deposits are settled accordingly.
- The cashier/paymaster shall not be engaged in time keeping, preparation of payroll, checks payment vouchers and checks.

The following entry is passed when salary is paid to staff and payroll is submitted to accounts.

Dr. Salary expense (gross salary)

Cr. Payroll fund

Cr. Income tax

Cr. Provident fund payable

Cr. Loan (if any)

Cr. Unclaimed salary (if any)

Cr. Other

Salary of terminated employee should be paid as soon as they submit their clearance - they need not wait until the payroll is prepared.

Payment of temporary employees shall be paid by Wages Sheet, after it is checked and approved by the respective heads. Where payments are paid every month, income tax on wages must be calculated on monthly gross wages.

11.5 Internal Control

- Make sure payroll preparation and payment functions are segregated,
- Make sure any payroll related information's are forwarded to the concerned accountant unit at the time of employment or at least before preparation of payrolls,
- Make sure payrolls are prepared using the recent and relevant information about the employees, and also are approved by the ED/PM or by their delegate,
- Make sure payments of salaries/wages are made to the direct employees or their legal representatives,
- Make sure unclaimed salaries/wages, if there are any, are deposited and any related documents are forwarded to the responsible accounting unit within one week after pay period is elapsed.
- Make sure all payrolls and related information's are kept confidential.

12 BUDGETING

12.1 Definition and other considerations

- A budget is a detail plan of operation based on analyzing relevant past data and future estimates,
- A budget is a comprehensive, formal plan, expressed in quantitative terms, describing the expected operations of an organization over some future time period, i.e. it could be prepared for one or multi-years,
- A budget deals with a specific entity, covers a specific future time period, and is expressed in quantitative terms,
- Budget forces managers to think ahead, to anticipate and prepare for changing conditions,
- No costs should be incurred unless approved in the budget,
- There should be flow of budgetary information to budget implementers,
- The approved budget shall constitute the authorization to incur obligation up to the monetary limit of the budget,
- Interim review of budget executions should be made to prevent over and under or early spending,
- Budgeting is the process of allocating limited resources to unlimited demands, i.e. the act of preparing a budget.

12.2 Objectives

The main objectives of a budget are:

- To provide a detailed plan of action or to formalize planning
- To foster coordination, cooperation and communication
- To provide a framework for judging performance or for performance evaluation
- To create awareness of organization costs.

12.3 Functions of Budgeting

The **two** basic functions of budgeting are **planning** and **control**.

- **Planning** encompasses the entire process of preparing the budget from the initial ideas through the development of the budget. Careful planning provides the framework for the second function of budgeting.
- **Controlling** is the comparison of actual results with budgeted data, evaluation of the differences, and taking corrective actions to adjust for differences when necessary.

12.4 Budget Preparation and Information requirement

- All departmental units and project offices shall prepare their budget requirements, after clearly defining their objectives and the activities required for implementations.
- To carry out the planned activities, each unit has to prepare a breakdown of the required materials, human resources, equipment and other services in quantity and value,
- Each Department and/or Program shall prepare a detailed budget in accordance with the accepted expenditure heading and classification.
- To finance the planned activities information on source of funds such as commitments, pledges, contributions in cash and in kind, membership fees, free services, internal revenue generations, etc, are required,
- To make the budget reasonable the Finance and Administration Dept. shall give support and necessary information for those involved in drawing budgets,
- The budget must reflect the different project activities planned under separate headings. It should be subdivided into the organization's different activities, and different categories of expenditure.
- All costs shall ultimately be charged to projects/programs, and those budget centers which are not project specific shall be allocated to project centers.
- The current year budget should be broken down on a monthly basis so that a cash flow plan that could be used as a management tool would be made.

- When the budget is broken down into Income and expenditure on a monthly basis and then linked to the cash you expect to have in hand at the beginning of each period, it gives you a cash flow plan.

Budgeting requires a lot of attention to detail, and one must be careful not to leave out any important steps. Use the checklist below when you do your budgeting:

- Plan your activities;
- Work out expenditure headings;
- Work out income headings;
- Cost your expenditure items carefully, including: allowing for inflation, salary increases, cost of living, and unusual expenses;
- Work out what income you can expect carefully and conservatively;
- Work out what your short fall is;
- From your income and expenditure budget , develop a cash flow budget;
- Present the draft for feedback;
- Finalize your income and expenditure budget and your cash flow budget, ready for use.

Finally, the Executive Director will present the budget to the Board of Management for approval. The approved budget should be circulated to the Departments/Program coordinators who are responsible for the preparation and implementation of the budget.

12.5 Budget Structure

To facilitate planning and to enable control to be effective, you should try to ensure that the overall structures of the budgets correspond closely to the accounts structure. It is possible to organize budgets at different levels, e.g. by department, program or project.

12.6 Budget control

The budget is a business of everyone in the organization; therefore, all actors should understand how it is drawn up, why it is important and how it is monitored.

An important part of the control function of budgeting is the comparison of budgeted data with actual operating results. The comparisons are presented in periodic budget performance reports. Once the budget has been prepared and approved, the Finance and Administration Dept. Head starts the task of recording the budget and comparing it with actual figures and resulting variance.

Before any payment/purchase is effected, budget clearance should be obtained from the Finance and Administration Dept. Budget comparison reports should be prepared and presented at the end of every month to the budget implementers. Interim review of budget executions should be made to prevent over and under or early expenditures for proper management actions. Any

substantial variance between the budget and actual should be carefully investigated and reported to management, for the appropriate decision- making.

At the Head Office, the Quarterly Comparative Budget report is prepared to indicate budget variance. i.e. comparing actual expenditure with plan.

12.7 Good Practices in Budgeting

12.7.1 Clarity

Since many different people will need to use the budget for different purposes, they should be able to understand it (and adapt it, when necessary) without any additional explanation beyond what is written down. Clarity and accuracy is a key, so it is important to keep notes on budgeting assumptions and how calculations have been made.

12.7.2 Timetable

Sound financial planning requires that preparations of the budget to be started before the beginning of the period to which it applies. Preparing a budgeting time table is among the several stages involved in constructing a budget before it can be submitted for approval to the governing body. A budgeting time table helps to ensure adequate time by listing and communicating each step in the budgetary procedure and the time allowed for its completion. The following is expected budgetary timetable:

- Each cost center or department should prepare and submit their estimated budget to accounts for compilation two and half months before the end of the current budget year.
- The draft budget document should be completed and submitted to the budget committee/or the planning team two months before the end of the current period.
- The budget committee/planning team should review and recommend to the higher body of the Organization for approval. The budget must be approved one month before the end of the current period.
- The approved budget should immediately be communicated to the respective cost centers or departments two weeks before the beginning of the new budget year.

12.7.3 Budget Headings

When setting a budget for the first time or when reviewing a budget, it is important to pay attention to the Chart of Accounts. This is because the budget line items also appear in the books of account and on management reports. If the budget items and accounting records are not consistent then it will be very difficult to produce monitoring reports once the project implementation stage is reached.

One way of achieving consistency is to design a Budget Preparation Sheet for your organization, which will act as a memory-jogger and prompt staff to include all relevant costs. It will list all of

the main types of income and expenditure that a project or department might have in a typical year.

12.7.4 Estimating Costs

It is important to be able to justify calculations when estimating costs. Even if you use the incremental method of budgeting, do not be tempted to simply take last year's budget and add a percentage amount on top for inflation. While last year's budget could be very helpful as a starting point, it could also be very misleading.

The best approach is to make a list of all the inputs required and specify the number and unit cost of each item. From this detailed working sheet it is a simple matter to produce a summarized budget for each line item and is very easy to update if units or costs change.

12.7.5 Contingencies

Try to avoid the practice of adding a 'bottom line' percentage for so-called 'contingencies' on the overall budget. As a rule, donors do not like to see this and it is not a very accurate way of calculating a budget. It is better to calculate and include a contingency amount for relevant items in the budget – e.g. salaries, insurance, and fuel. Every item in your budget must be justifiable – adding a percentage on the bottom is difficult to justify – and difficult to monitor.

12.7.6 Forgotten costs

Many a failed project is based on an under-costed budget. There is a tendency in the NGO world to under-estimate the true costs of running a project for fear of not getting the project funded. The most common of the forgotten costs are the indirect or non-project costs. Here are some of the most often overlooked costs:

- Staff related costs (e.g. recruitment costs, training, benefits and statutory payments)
- Overhead or core costs (e.g. insurance, utilities)
- Vehicle running costs
- Equipment maintenance (e.g. for photocopiers and computers)
- Audit fees

13 REVENUE/INCOME

13.1 Definition

Revenue/Income represents the total inflow of financial and in kind resources generated by an organization from donations, supports and sales of miscellaneous sources.

13.2 Sources of Income

The following are revenue sources of HLBECO

- I. Donations
- II. Self-generated
- III. Fundraising
- IV. Contributions in kind and
- V. Other resources.

13.2.1 Donations

HLBECO shall obtain funds from domestic and foreign sources for its specific programs/projects. Funds which are expendable for purposes specified by donors are called restricted funds and those funds which are not earmarked for specific purposes are called unrestricted funds and such funds are controlled fully by the governing board of HLBECO. Funds shall be credited to accounts pertinent to each program and project thereof.

13.2.2 Self-Generated Income

HLBECA shall generate income based on the principles of cost recovery to ensure sustainability. This Income shall be used for the specific purpose originally intended for Separate fund accounts shall be maintained for such funds.

13.2.3 Contribution in Kind

These donations include contribution in kind such as properties, commodities, materials, facilities, etc.

13.2.4 Other Sources

Funds shall also be raised from special events, gifts, sales of scraps and other collections. Collections from these shall be accounted separately and be utilized for solving unforeseen problems of the project areas and community motivation.

13.2.5 Remittance

At the time when budget is approved for a financial year a remittance schedule showing the amount of money to be remitted to HLBECO program from donors according to the work plan for every month is prepared by the Accountants. Based on the remittance schedule and by looking at the position of the reserve a request for remittance of fund to HLBECO account could be requested from donors by the Executive Director or Finance and Administration Dept. head.

All the remittance received from donors and all expenditures incurred abroad on behalf of HLBECO are part of the income at the local currency received or as per the expenditures by using the period's remittance rates.

A review should be made by the Finance and Administration Dept. every month on the actual exchange rate and should be reported to the Executive Director to enable him/her to notify donors if there are a change in exchange rates as stated above.

HLBECO shall request remittance from international and domestic donors as per their respective transfer schedule and agreement.

13.3 Expenditure by donors

- There are different types of expenses incurred on behalf of HLBECO by donors. Donors should send monthly expenditure report/debit note to HLBECO head office.
- The Finance and Administration Dept. should check the report and if there are any discrepancies or any queries he/she should write to donors for clarification.

13.4 Accounting Entries

Income in cash or in kind is recognized on receipt. The entries are:

Dr. Cash/Bank

Cr. Income

For donation in kind, i.e., material, facilities and voluntary services, the journal entries are:

Dr. Appropriate Expenditure Account

Cr. Income

The recording for scrap sales is:

Dr. Cash/Bank/Receivable

Cr. Income

13.5 Internal Controls

- Ensure that records are maintained for all donations including the donor's name, date and the compliance requirements;
- Make sure a designated individual is assigned to follow-up the implementation of the donations whether they are in accordance with donor's requirements;
- Ensure that subsidiary ledger is maintained for each donor and each income generating center;
- Ensure that donated materials are physically inspected;
- Ensure that donated materials and free voluntary services are recorded at fair market value.

14 EXPENDITURES

14.1 Definition

Expenditures are defined as the layout of resources in the form of materials, labor, money and services to achieve intended goals

14.2 Kinds of Expenditure

Expenditures are regrouped and reclassified to facilitate meaningful interpretation of economic analysis and financial information for decision-making. Expenditures may be classified as **capital expenditures** where assets are expected as a result of completion of a contract, and **operating expenses** where resources are consumed in the process of production of revenue generating activities or completely consumed in operating program activities. Expenditures may also be classified as project and administrative.

Expenditures incurred in relation to specific project or activities are known as **project expenditures**.

While **administrative expenses** are costs incurred but in no way related to any particular project, operation or revenue generating activities. These expenditures are accumulated in general overhead accounts until year-end and distributed to activity cost centers on a selected and meaningful ratio.

14.3 Recording

The recording of expense transaction and the precautionary measures are dealt with in the payment sections of this manual. The account distributions and coding are all done in the petty cash, check payment vouchers and journal vouchers. The treatment of payroll payment is dealt in Section 11 of this Manual.

14.4 Internal Controls

- Ensure that all expenses are properly accumulated, classified and summarized in the expense ledger account;
- Ensure that expenditure coding and posting are properly done;
- Ensure that expenditures are made from the related budgets and project funds;
- Ensure that all expenditures are included in the year-end report; and
- Compare expenses of previous year with that of current year and evaluate the difference.

15 FUND BALANCE

15.1 Definition

Fund balance is the accumulated balance of the difference between the Incomes received and Expenditures incurred in an accounting periods. Fund balance is a balance sheet item. The difference between Incomes and expenditures is transferred to the fund balance account. It should be ensured that project funds are kept separately from any other funds.

15.2 Classification of Fund

Restricted Fund – This fund accounts for the operating resources of HLBECO, which are expandable only for purposes specified by donors. The difference between the revenue received and the expenditure made is closed to funds payable account when the revenue is greater than the expenditure; and in the case where the revenue is less than the expenditure (provided that the expenditure is within the overall budget approved and committed) it will be closed to a funds receivable account.

Unrestricted fund –This fund accounts for all operating resources of HLBECO over which the governing board of the HLBECO has full control. The difference between the revenue and expenditure is included in the fund balance.

15.3 Accounts Recording

All expenditures should be closed to the respective revenue centers. The balance on each Income center shall be closed to the appropriate fund balance account or if restricted to a fund payable or fund receivable account as appropriate.

15.4 Internal Controls

- Ensure that deficits on restricted funds are restricted funds are recorded in the funds receivable account and excesses are recorded in the funds payable Account at the end of each fiscal period.
- Accounts should ensure that restricted funds are not spent without prior approval of donors.
- Accounts should ensure that source of funds are properly reported to the controlling government agency.
- Accounts should ensure that the spending of prior years' balances are approved for expenditure of current year.

16 FINANCIAL REPORTS

16.1 Definition and Description

Financial reports are summary of all the transactions for a specific period and show the financial position of an organization. They should meet the qualitative characteristics of relevance, understandability, reliability, verifiability, neutrality, timeliness, comparability and consistency. The objectives of financial reports include:

- Serve as information sources to management and other authorities for planning and economic decisions.
- Provide donors/users with information for predicting, comparing and evaluating earning and spending power.
- Judge management's ability to utilize resources effectively in achieving primary goals.
- Serve as source of disclosure for underlying assumptions with respect to matters subject to interpretation, evaluation, prediction or estimations.

16.2 Types of Reports

16.2.1 Financial Reports:

Balance sheet - is a statement showing the financial position of an organization as at a specific date. It shows exactly how much the organization is worth at the moment when the snapshot is taken.

Revenue and Expenditure Statement - is used to look at the year's performance. It compares the budgeted income and expenditure with actual revenue and expenditure and identifies variances. For example the monthly income and expenditure report will tell you what the difference is between your income and expenditure budget for the month and what actually came in or was spent. It will also tell you what the difference is between the budget and the actual expenditure for the year. These differences are called variances. This is where your budget becomes a living tool, a way of managing the finance of the organization.

By looking at the differences, you can take action to prevent the cash flow problem, you can take action to control expenditure when it rises too high, and you can look for trends that will indicate that your budget was wrong and needs to be adjusted.

The reason for significant variances should be reported. Being able to see where the variances are, and what they are, helps you to identify problem areas. The point of analyzing the variances is to give you the information that will enable you to make decisions and take action.

Cash Flow Statement – is details of cash balance at the start and end of the reporting period shows the change in cash over a specified period of time.

Notes to the Accounts - constitute an important part of the financial statements as they give the reader of the financial statements additional information detailing those contained in the balance sheet and profit and loss statement. They also include the accounting policies adopted by the organization in preparing the financial statement. The notes to the accounts are parts of the financial statements presented as explanatory details to financial statements.

16.2.2 Management Reports

Management reports are produced for the consumption of management for decision-making purposes.

- Income Statement by Budget Line;
- Expenditure report by cost center;
- Donor Report
- Other reports as required by management

16.2.3 The Donor Report

Donors require that an NGO is able to demonstrate financial soundness before granting the release of funds. This is why the donor report is so important. In most cases the report will include a budget compared to actual summary, accompanied by a narrative report on the activities being undertaken. If the reporting period coincides with the preparation of the management accounts, a donor report will not involve too much extra work.

Where there are several donors it is important to set up the accounting systems so that the information required by the donor agency can be easily retrieved. Otherwise the organization will be involved in a tedious information gathering exercise every time a report is required. The use of Cost Centers is particularly useful here.

When putting together a report to donors:

- Do try to meet reporting deadlines (request an extension if this is not Possible)
- Do produce accurate and verifiable figures
- Do not set out to conceal under-spends or over-spends

- Do add notes to the budget comparison report to explain any significant
- Variations
- Do keep the donor informed of any potential problems

16.3 Date for production of Reports

- The financial reports stated above should be produced in draft form within one month after the end of the fiscal year.
- The financial statements should be reviewed by management and submitted to the external auditors within 30 days after the draft is completed.

16.4 Audit

The audit is an independent assessment of your record-keeping systems and your financial position. All books of accounts of HLBECO shall be audited annually by a recognized external audit firm.

An audit is an independent report that covers:

- How much money the organization has received and how much it has spent in the year,
- How and to what the money was spent,
- Whether the money was spent in accordance to the policies, rules and regulations of the organization,
- To see the efficiency and effectiveness of the organization,
- To see that donor requirements are fulfilled,
- To assess whether the accounting policies are appropriate to the organization's circumstance, consistently applied and adequately disclosed, and
- To give reasonable assurance that the financial statements are free from material misstatements, whether caused by fraud or other irregularity or error.

From the donor point of view, audit is very important because it is an independent assessment of the operations of the organization. The General assembly, Board of Directors and Government office also require the audit report.

The Finance and Administration Dept. is responsible in facilitating and coordinating the audit activities. All other staff have the responsibility to fully cooperate with the auditors by providing any required information or documents. When necessary, the auditor may pay visit to the project sites

The audit work must be finalized within three months after the fiscal year is over. After the audit work is completed audit reports must be distributed to the relevant Donors and Government institutions.

ANNEXES

Annex .1

HIBRET LEBEGO ETHIOPIA CHARITY ASSOCIATION (HLBECA) CHECK PAYMENT VOUCHER

Date. _____

No. _____

Pay to _____

Budget source _____

Purpose of Payment _____

Amount in figure _____

Amount in words

Check NO.

For accounts use only

Account code	Particular	Debit		Credit	posted
Total					

Prepared by

Approved by

Authorized by

Receiver's signature

Distribution of copies

Original- Attached to the supporting document

Copy- Pad

Annex 2

HIBRET LEBEGO ETHIOPIA CHARITY ASSOCIATION (HLBECA)
PAYMENT REQUEST FORM

Date _____

Payee _____ Section _____

Amount in Birr _____ In words _____

Purpose _____

Requested by

Approved

Authorized by

Annex 3

HIBRET LEBEGO ETHIOPIA CHARITY ASSOCIATION (HLBECA)
JOURNAL VOUCHER

NO. _____

Date _____

ACCOUNTS CODE	DESCRIPTION	DEBIT		CREDIT	

Prepared& posted by

Approved by

posted by

HIBRET LEBEGO ETHIOPIA CHARITY ASSOCIATION (HLBECA)
BANK RECONCILIATION STATEMENT

A/C No. _____ Date _____

Bank _____ Branch _____

Balance per bank statement (date) _____ Xxx

Add: Depositor not recorded by bank

Date	Amount
_____	_____ XX
_____	_____ XX
_____	_____ XX

Less Outstanding cheques

Date	Check No.	Amount
_____	_____	_____ xx
_____	_____	_____ xx
_____	_____	_____ xx

Less: Deposit recorded by bank

But not by NGO Date Amount

Date	Amount
_____	_____ XX
_____	_____ XX
_____	_____ XX

Balance per ledger

_____ xx	_____ xx
-------------	-------------

Prepared by _____

Checked & Approved by _____

HIBRET LEBEGO ETHIOPIA CHARITY ASSOCIATION (HLBECA)**PETTY CASH PAYMENT VOUCHER**

Date _____

NO. _____

Payee to _____

Budget Source _____

Purpose of
payment _____

Amount In figure _____

Amount

In words

Prepared & paid by_____
Checked by_____
Authorized by_____
Received by

For accounts use only

Account code	Particular	Debit		Credit	

Distribution of Copies:**Original-Attached to the supporting documents****Copy- To Pad**

HIBRET LEBEGO ETHIOPIA CHARITY ASSOCIATION (HLBECA)
PETTY CASH REPLENISHMENT REPORT

Page _____

No. _____

Date	CPV No	Check No.	Description	Debit		Credit	

I confirm that the above details are true and correct and request replenishment for the total payments amounting to Birr _____
 (_____).

Prepared by_____
Checked by_____
Approved by

Annex 7

HIBRET LEBEGO ETHIOPIA CHARITY ASSOCIATION (HLBECA)

Cash Receipt Voucher

P.O.Box _____

Date _____

TEL. _____

No. _____

Received From _____

Purpose of payment _____

Amount In figure _____

Amount

in words

Payment method

Cash

☐

Check

☐

Prepared by_____
Checked by_____
Cash received by

For Accounts only

Account code	Particular	Debit		Credit	

Distribution of Copies

White-Payee

2nd Copy- Accounts

3rd Copy- Pad

Annex 8

**HIBRET LEBEGO ETHIOPIA CHARITY ASSOCIATION (HLBECA)
SUSPENSE VOUCHER**

Date_____

Payee_____ Section_____

Purpose_____

Amount in Birr_____ in words_____

_____	_____	_____	_____
Requested by	Section Head	Authorized by	Recipient's Signature

NB: This suspense voucher should be referenced and attached to the invoice/payment voucher for which payment was authorized. The cashier would mark "SETTLED" in the presence of the pay upon receipt of the invoice/payment voucher.

HIBRET LEBEGO ETHIOPIA CHARITY ASSOCIATION (HLBECA)
TRAVEL ADVANCE REQUEST FORM

Date _____

Name of Traveler _____ Position _____

Trip to _____ Salary _____

Date of departure _____ Date of return _____

Total No. of days _____ Perdiem rate _____

Purpose of Travel _____

Per Diem advance Birr _____

Fuel advance Birr _____

Other expenses Birr _____

Total advance Birr _____

Signed _____

Applicant

Approved

Authorized

Recipient's signature

NB: This amount must be settled immediately upon your return from the trip.

HIBRET LEBEGO ETHIOPIA CHARITY ASSOCIATION (HLBECA)
TRAVEL ADVANCE CLEARANCE

DATE _____

NAME _____
 TITLE _____
 REASON FOR TRAVEL _____
 SALARY _____
 PERDIEM RATE _____
 ADVANCE TAKEN _____

NO	TRAVEL		DEPARTURE		ARRIVAL		DAYS	PAYMENT (Birr)
	From	to	Date	Time	Date	Time		

EXPENSE INCURRED AS PER THE ATTACHED

1. _____ 4. _____ 7. _____
 2. _____ 5. _____ 8. _____
 3. _____ 6. _____ 9. _____
T O T A L _____

TRAVELLERS SIGNATURE_____
ADMINISTRATION_____
APPROVED**FOR ACCOUNTS USE ONLY**

PERCENTAGE RATE	BREAKFAST	LUNCH	DINNER	BED	TOTAL
NO OF DAYS	_____	_____	_____	_____	_____
PERDIEM PAYABLE BIRR	_____				
EXPENSES	_____				
TOT AL B I R R	_____				
LESS ADVANCE TAKEN	_____				
DIFFERENCE BIRR	_____				

PERPARED BY_____
CHEKED BY_____
APROVED BY

HIBRET LEBEGO ETHIOPIA CHARITY ASSOCIATION (HLBECA)**Cash Count Form**

Office _____ Date and Time _____

Cashier name _____

Counted by name 1. _____

2. _____

Denomination	Notes Counted	Value Birr
Notes	200.00 _____	_____
	100.00 _____	_____
	50.00 _____	_____
	10.00 _____	_____
	5.00 _____	_____
	1.00 _____	_____
Coins	0.50 _____	_____
	0.25 _____	_____
	0.10 _____	_____
	0.05 _____	_____
	0.01 _____	_____
	Total cash _____	_____
	Check No. _____	_____
	Pending (suspense) _____	_____
	Total Counted _____	_____
	Balance per record _____	_____
	Cash Excess/Shortage _____	_____

I hereby certify that the above cash and documents amounting to _____
 _____ represent all the funds of GPSDO in my possession at the time of the cash count
 and that they were counted in my presence and returned to cash safe intact.

Cashier Name & sig. _____ Counter Name & sig. _____

1. _____

2. _____

3. _____

Auditor Name & sig. _____

Annex 12

**HIBRET LEBEGO ETHIOPIA CHARITY ASSOCIATION (HLBECA)
GOODS RECEIVING NOTE /GRN/**

No. _____

Date. _____

Supplier _____

INVOICE No. _____ Purchase Req. No _____

Delivered by /Name & Signature/

Received by/Name & Signature/

/Storekeeper/ Store head /Name& Sig. /

S.NO	ITEM DESCRIPTION	UNIT MEASURE	QUANTITY RECEIVED	UNIT PRICE		TOTAL AMOUNT		REMARK

Distribution of Copies:

Original- To the person /organization delivering the item/

2nd copy- Account section

3rd copy-Stores file

4th copy- Pad.

Date. _____

Purpose _____

S.NO	ITEM DESCRIPTION	UNIT	QUANTITY	
			REQUESTED	APPROVED

Signature_____

Signature _____

Item Description_____

68

HIBRET LEBEGO ETHIOPIA CHARITY ASSOCIATION (HLBECA)

Inventory Sheet

[illegible]

Counted by name & sig.

1. _____ Store keeper Name & Sig _____

2. _____ Approved by Name & Sig.

HIBRET LEBEGO ETHIOPIA CHARITY ASSOCIATION (HLBECA)
REQUEST FOR QUOTATION

Telephone.....

Date.....

Tele fax.....

Code.....

Dear Sirs:- Please quote the prices for the items listed below, and submit your quotation in a sealed or waxed or waxed envelope before..... 20.....

Item NO.	Description and Full specification	Units of Measurement	Unit price	Quantity	Remark

N.B Please ensure that your quotation covers the following

1. Price per unit
2. Payment terms
3. Packing
4. Delivery Time
5. Validity of your offer
6. Gross and net weight in Kg

Please airmail - Catalogue - copy (ies)

- Sample

- Performa invoices copies

Signed

Property Description_____	Group_____	Acquisition Ref._____
Tag No._____	Service life_____	User Custodian_____
Location/Place and Dept._____	Cost or Valuation_____	
Address_____		
Plate No._____	Depreciation Rate_____	
Supplier's_____		
Chassis No._____	Acquisition PV	

[illegible]

Date_____

Budget Ref _____

S.No	Description	Unit	Quantity

HIBRET LEBEGO ETHIOPIA CHARITY ASSOCIATION (HLBECA)
TENDER EVALUATION SHEET

Date: _____

Purchase Requisition No. _____

No	Item	Qty.	Unit	Supplier No1				Supplier No2				Supplier No3			
				Unit price		Total Price		Unit price		Total Price		Unit price		Total Price	

Purchase committee Decision:

Signed by Committee

Member _____

Approved by: _____

Name, Signature and Date